STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

CASE 25-E-0072 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison of New York, Inc, for Electric Service.

CASE 25-G-0073 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison of New York, Inc. for Gas Service.

WESTCHESTER MUNICIPAL CONSORTIUM COMMENTS ON THE JOINT PROPOSAL

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Introduction

The Westchester Municipal Consortium ("WMC" or "Consortium") comprises forty (40) Cities, Towns, and Villages located within Westchester County. A list of the municipalities is annexed hereto. Each community has residents and businesses that fall within Con Edison's service territory. This is the first time these municipalities have joined together to intervene in a Con Edison rate case. This unprecedented formation recognizes the adverse impact of rising utility rates on affordability. There is also a concern that there may be inequity in the investment in facilities between New York City and Westchester, and that the rates charged to Con Ed customers in Westchester may not properly reflect the cost of service.

The Joint Proposal ("JP") sets forth provisions that represent modest initial steps toward more fully addressing these concerns. At all times, the Consortium has emphasized the importance of using inflation as an objective benchmark for evaluating the rate increase. This is the primary basis for the Consortium's evaluation of the impact of the JP's proposed negotiated rates on affordability.

The JP negotiations on important issues to the Consortium continued until a few hours before the JP was filed. As a result, due to the associated deadline constraints, it was impossible to have forty (40) elected bodies convene to determine the position of each municipality on the final negotiated results. A consensus was reached that overall, the terms of the JP, including the provisions advocated by WMC, were sufficient not to oppose the JP. However, there is no question that Con Edison and DPS Staff heard our concerns and worked very professionally to address them. We also want to commend the DPS Staff, Con Edison, the

other parties, and the ALJ assigned to assist in administering the negotiation process for all their hard work.

While the WMC has not signed the JP and proposed lower increases than those in the JP, we recognize the intensive efforts of all parties to substantially reduce the initial proposed increase to the lower level set forth in the JP. The WMC is cognizant there must be a balance of interests, keeping rates as low as possible while maintaining safe and reliable service, and meeting the Commission's other statutory obligations and policies.

It is also vital to WMC's position that the JP includes certain provisions related to a review of Con Edison's capital investment levels in Westchester as well as providing interested parties with an opportunity to further investigate the cost and quality of service provided to radial and network customers. Con Ed has agreed to cooperate in providing the information needed to investigate these issues in a future rate proceeding. For all of these reasons, the WMC is not opposing the JP.

The Standard of Review

The JP is to be reviewed pursuant to the guidelines adopted by the Commission for review of settlements of rate proceedings. (Cases 90-M-0255 et al., Opinion, Order and Resolution Adopting Settlement Procedures and Guidelines, Opinion No. 92-2 (issued March 24, 1992). The guidelines provide the following criteria for review of whether the JP is in the public's interest:

A. Consistency with the law and regulatory economic, social and environmental State and Commission policies;

B. Whether the terms of the JP compare favorably with the likely result of a fully litigated case and produce a result within the range of reasonable outcomes;

C. Whether the JP fairly balances the interests of ratepayers, investors and long-term soundness of the utility; and

D. Whether the JP provides a rational basis for the Commission's decision.

The bottom line is that the end result must not be discriminatory, and it must achieve just and reasonable rates. Not just reasonable to Con Edison, or specific intervenors, but to the businesses and residents within its entire service territory.

The Percentage Rate Increase

THE JP'S REDUCTION OF THE RESIDENTIAL ELECTRIC DELIVERY RATE INCREASE FROM 19.1% TO 4.4% AND THE OVERALL BILL IMPACT FROM 13.4% TO 2.8% RECOGNIZES WMC'S CONCERNS OVER AFFORDABILITY

While the JP's proposed electric and gas rate increases do not go as far as WMC's testimony position of limiting any increase to the inflation rate (Ex. 1172), the material reductions are a clear and significant response to the concerns raised by WMC, the public and other parties. The recent series of rapid rate hikes, combined with other increases in the cost of living, has caused an affordability crisis across all Westchester municipalities. The WMC member municipalities have all seen the need for expanded programs for low-income customers, sharp increases in customers falling behind on bill payments, and rising levels of uncollectible revenues. These objective facts confirm that there is a pressing need to adjust the balance between costs and reliability. Rate increases need to be brought closer to the inflation rate. The negotiated rates in the JP clearly demonstrate a significant movement toward that benchmark.

As noted earlier, due to time constraints, it was not feasible to receive formal determinations from all of the relevant elected and appointed decision-makers across all 40 municipalities. Accordingly, the Consortium is not taking a position on the final negotiated rate levels. However, we call the Commission's attention to Exhibit 1123 (WMC-1, Schedule 1). This exhibit shows the annual rate of inflation and the far more rapid rate at which Con Edison's delivery rates have been increasing in recent years. A straightforward comparison of this data with the proposed total bill impact of 2.8% per annum rate increase for electric and total bill impact of 2.0% for natural gas as set forth on pages 4 and 10 of the JP, respectively, speaks for itself. The JP makes strides towards moving the electric rate increase closer to the inflation rate by reducing the proposed increase by approximately seventy-five percent (75%).

Capital Investments

THE DISPARITY IN THE LEVEL OF INVESTMENT BY CON EDISON IN WESTCHESTER MUNICIPALITIES VERSUS NEW YORK CITY

In its filing update in this case, Con Edison sets forth a list of projects to be undertaken over 2026-2028. (Ex.461-EIOP-1UPD) . Only a handful of the planned projects are located in Westchester communities. In fact, in their response to a WMC data request, Con Ed provides data that shows that 96% of the investment in facilities over that period will be within NYC and only 4% in Westchester. (Ex. 1174 WMC-3-43,44). WMC thus has a reason to be concerned that the level of investment in our communities will not be sufficient to maintain, let alone improve, the quality of service provided to our residents and businesses. There is ample reason to be concerned that NYC is sucking up nearly all of the available dollars for investment in Con Edison's service territory. In an effort to address the perception of inequitable treatment, the JP provides that Con Edison leadership will meet annually with WMC municipalities and other

interested government officials to review the status of Westchester operations, planned projects, and the relative investment in Westchester communities compared to New York City. (JP. p. 74). The annual meeting will also be a forum to address other areas of concern, such as double poles, AI data centers, and other issues that may arise over the next few years. The WMC commends Con Edison for agreeing to include this provision in the JP.

WMC views the annual meetings as a significant good-faith step towards addressing our members' questions and apprehensions. It also provides an opportunity to strengthen existing working relationships at the decision-making level between Con Edison's personnel responsible for maintaining and improving the system in our communities and the corresponding public officials. This effort should pay long-term dividends for Con Edison and our residents by highlighting local concerns early in the engineering and planning process. Since our member municipalities are in constant contact with their residents, they are uniquely positioned to be aware of certain capital needs and emergency response situations in their respective municipalities. They are able to anticipate problems that might be perceived as less of a priority or of which Con Edison's engineering and planning staff are not aware. These meetings will facilitate and strengthen the working relationships and hopefully address the genuine concerns of WMC as to the level of investment in Westchester. They will also provide a valuable opportunity for our 40 municipalities to ask questions and obtain information annually on other issues affecting quality of service and safety.

Aligning Rates with the Quality and Cost of Service

THE RELATIVE COST OF SERVICE OF UNDERGROUND GRID NETWORKS AND OVERHEAD RADIAL (NON-NETWORK) SYSTEMS SHOULD BE INVESTIGATED

Although WMC is not opposing the JP, it strongly supports inclusion of the following provision:

> Consistent with its responses to WMC-4, the Company will prepare an informational analysis, apart from its next ECOS study, of primary and secondary distribution facilities and service connections, categorized by overhead and underground. Additionally, the Company will provide, on a sample level, SC 1 residential characteristics including annual kWh sales, KW demand, and customer counts, further classified by radial, N-1 network, and N-2 network connections. This data will be offered solely for informational purposes, as the sample selected to determine ECOS study cost allocations aligns with the requirements of the demand analysis, which is structured for class-level rather than customer connection-level assessment. This analysis will be included in the Company's next electric base rate filing. The Company agrees to hold a virtual meeting with Westchester Parties' representatives and other interested parties before undertaking the analysis to review the parameters.
> (JP p, 52).

Expert testimony in this case provides overwhelming support for this modest first step toward better aligning costs and rates across Con Edison's integrated system. The issue was explained in great depth by WMC's expert witness, Dr. Ben Johnson. See in particular, pages 16-18, 21-23, 28, 31, 34-36, 39, 41, 52-53, 77, 83, 85, and 86 of his prefiled testimony. (Ex. 1172).

On the above pages (and others), Dr. Johson provides a detailed, well-documented explanation of why it costs more to serve customers on an underground network than on an overhead radial system. He also offered unrebutted evidence that the cost differences are large enough to merit further investigation. More specifically, he offered his expert opinion, based upon more than 40 years of experience investigating the cost of providing electric service, that the cost differential exceeds 5%. (Ex. 1172, p.97). It should be noted that this is not an issue that only affects the Westchester communities. Customers are served by radial systems in every outer borough. Staten Island is almost exclusively served by an overhead radial system.

Given the actual state of the factual record in this proceeding, the only disputed remaining issues are (1) the magnitude of these cost discrepancies, (2) whether that magnitude is sufficient to justify the effort required to modify the rate design, (3) how best to reflect the actual differences in cost of service, and (4) how slowly these changes should be phased in. The JP's provision simply enables data to be collected to assist in evaluating the answer to these questions. This will ensure that parties are not hampered in their attempts to find answers to these questions. The data can then be reviewed and analyzed, within the context of accepted rate design practices and adopted Commission policies, for consideration in future proceedings,

Consumer Protections and the Environment

WMC endorses the JP's additional protections for consumers and for the environment. Those consumer protections include enhanced weather-related turn-off protections, additional disclosures and other information to assist customers to fully understand their options. Environmental protections include requirements for further reporting of greenhouse gas emissions and incentives for Con Edison to meet clean energy goals.

Conclusion

As with all negotiated settlements, the end result is not going to fully address everyone's concerns or go as far as each of the parties may have wanted. That is certainly true for WMC. However, on balance, the material reductions in Con Ed's proposed rate increases bringing it closer to the rate of inflation combined with the JP addressing other issues raised by WMC are sufficient for WMC not to oppose the JP.

Respectfully submitted,

Dated: November 26, 2025

/Joel R Dichter/

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Attorney for the Westchester Municipal Consortium

WESTCHESTER MUNICIPAL CONSORTIUM MEMBERS

City of Mount Vernon
City of New Rochelle
City of Peekskill
City of Rye
City of Yonkers
City of White Plains
Town of Bedford
Town of Cortlandt
Town of Eastchester
Town of Harrison
Town of Greenburgh
Town of Mamaroneck
Town of Mount Pleasant
Town of New Castle
Town of North Castle
Town of Ossining
Town of Pelham
Town of Rye
Town of Yorktown
Village of Ardsley
Village of Briarcliff Manor
Village of Bronxville
Village of Buchanan
Village of Croton-on-Hudson
Village of Dobbs Ferry
Village of Elmsford
Village of Hastings-on-Hudson
Village of Irvington
Village of Larchmont
Village of Mamaroneck
Village of Ossining
Village of Pelham
Village of Pelham Manor
Village of Pleasantville
Village of Port Chester
Village of Rye Brook
Village of Scarsdale
Village of Sleepy Hollow
Village of Tarrytown
Village of Tuckahoe